whims of the market. The safety-first school views investment-only solutions as undesirable because the retiree retains all the longevity and market risks, which an insurance company is in a better position to manage.

But retirement income planning is not an either/or proposition. We must step away from the notion that either investments or insurance alone will best serve retirees. Each tool has its own advantages and disadvantages. An entire literature on “product allocation” has arisen, showing how a more efficient set of retirement outcomes can be obtained by combining investments with insurance.

The Advantages and Disadvantages of Investments in Retirement

With investment solutions, a more comfortable lifestyle may be maintained if you are willing to invest aggressively in the hope of subsequently earning higher market returns to support a higher income rate. Should decent market returns materialize and sufficiently outpace inflation, investment solutions can be sustained indefinitely. Portfolio balances are also liquid in the technical sense that they are accessible to a retiree, not locked away as part of a contractual agreement such as an annuity. Upside growth could also support a larger legacy and provide liquidity for unexpected expenses.

However, the dual impact of sequence of returns and longevity risk leaves you open to the possibility of being unable to support your desired lifestyle over the full retirement period. These are risks a retiree cannot offset easily or cheaply in an investment portfolio. Investment approaches seek to reduce sequence and longevity risk by having the retiree spend conservatively. Retirees spend less to avoid depleting their portfolio through a bad sequence of returns in early retirement, and because they must be prepared to live well beyond their life expectancy. The implication is clear: should the market perform reasonably well in retirement, the retiree will significantly underspend relative to their potential and leave an unintentionally large legacy.

At the same time, longevity protection (the risk of outliving savings) is not guaranteed with investments, and sufficient assets may not be available to support a long life or legacy. A “reverse legacy” could result if the portfolio